Did the Rs 25,000 Crore AIF Work?

Rightly concerned about the state of residential real estate, the government has also been fully aware of the backward and forward linkages of the real-estate sector with economic growth, employment and wages and the health of core industries like steel and cement.

Trying to find a solution for the crisis, it announced the establishment of an alternate investment fund (AIF) of Rs 25,000 crore in November 2019 to provide a lifeline to stressed real-estate developers. The government promised to contribute Rs 10,000 crore to the corpus of this fund and noted that there were about 4.58 lakh housing units stuck in India with over 1,600 stalled realty projects. The AIF, to be managed by a professional agency, was expected to attract investments of about Rs 15,000 crore (later pegged at Rs 12,500 crore) and provide debt financing, with first right to recovery, to relieve the funding stress of these stalled projects.

This AIF was registered with SEBI and SBI Caps was appointed its investment manager.

The AIF has existed for over two years now. However, nothing much has really come out of it. About fifty projects have reportedly been approved. The Fund does not disclose how much has been disbursed.

The fact is that the Rs 25,000 crore AIF has virtually flopped. No real capital contribution, other than from the government, SBI and LIC, has come to the Special Window for Affordable & Mid-Income Housing (SWAMIH) Fund. The fund has not been able to disburse much funds worth the name. This is quite in line with what was expected given the inherent contradictions in the scheme.

There were fundamental design problems in the financing model of the AIF. It was set up to provide debt to stalled projects with the condition that repayment and interest payment got the security of an escrow, which the cash-starved builders were in no position to offer. Loading more debt on already overleveraged residential real-estate developers was not the right